

2.4.2 Causes of Rapid Increase in Tertiary Sector

The tertiary, *i.e.*, the non-commodity sector, has been growing at a much faster rate than the commodity sector. This in essence means that income generated in the process of circulation grew at a much faster pace than that in the directly productive process, and thereby resulting in an increase in the share of the non-commodity sector. This trend can be attributed to a number of factors, among which the more important are as follows:

- i) A very important factor has been the advent of information technology and the knowledge economy. This has enhanced the growth of the high productivity segment of the services sector as well as a variety of service activities involving low productivity activities catering to a large mass of people.
- ii) A large part of the service sector consists of infrastructure such as banking, insurance, finance, transport and communication and social and community services such as educational and medical facilities. An urgent requirement of development is the proper expansion of infrastructure to cater to the needs of other sectors of the economy and the expansion of the social and community services for the well-being of the people.
- iii) Public services grow more rapidly where national Governments have significant role in planning and production in the economy as a whole. In fact, the 'visible hands' of the modern governments as reflected in the government policies and in the expansion patterns of the national and international authorities during the last few decades are directed towards the creation of fast economic and social infrastructures.
- iv) Operation of the demonstration effect as a consequence of the growing mobility due to expanding foreign trade, tourism and cultural and educational tours is another important factor.
- v) Increasing urbanisation may be regarded as another cause of expansion of the service sector in the economy. In fact, urbanisation is closely associated with a rise in demands for infrastructure services such as communications, public utilities and distribution services. A substantial change in the private consumption pattern of the economy is observed with increasing urbanisation. Many new goods and services enter into the consumption basket.
- vi) Tourism is becoming more and more international as knowledge is being spread through television and Internet, and modern technology has made air transport and hotel accommodations quite comfortable. Tourism in turn has promoted all types of services.
- vii) With the increasing complexities of modern industrial organisation, manufacturing industries have become service oriented. This has been reflected in the increasing functions of accounting, finance, legal services, advertisement, marketing, public relations etc. Because of the prevalent labour laws, these services are being increasingly outsourced, so that growth in industry is actually being counted as growth in services.

viii) Another factor, albeit very important, has been the favourable international environment. The changing liberalised environment opened up immense possibilities for the exports of India's service sector. An important contribution has been made by the IT sector, as also entertainment industry, etc. India and the ASEAN, the 10-member regional grouping, moved closer to completing a bilateral trade pact, but finalising a free-trade agreement (FTA) on services and investment. The pact will enable free movement of professionals from here such as doctors, engineers, architects and management consultants across the ASEAN markets.

In addition to the above factors, an increase in the share of the non-commodity sector in the GDP can also be attributed to slow growth in the commodity producing sector. While a part of this is explained by difficulties inherent in bringing about a fast rate of growth in the primary sector, a part is undoubtedly due to the failure of the secondary sector and its major component, which is manufacturing and construction, to grow at the much faster rate that was necessary to give the commodity sector a comparable status with the non-commodity sector in the growth rate.

2.4.3 Prospects and Opportunities

Both domestic and international factors augur well for the growth of services sector in India.

A) *Domestic Factors.* Some of the important factors can be briefly stated as follows:

- i) As real per capita GDP grows, demand for services increases more than proportionately and this, in turn, reinforces GDP growth itself.
- ii) Within the services sector, demand for producer and government services, which constitute mainly intermediate consumption, have strong multipliers impacting on real GDP.
- iii) The growth of such dynamic service activities, which are intensive users of communication and information technology, will generate employment opportunities on a rising scale.
- iv) The process of economic growth has itself led to the emergence and expansion of new services such as advertising, publicity, marketing, etc. These sub-sectors provide essential service inputs to other sectors in the economy, thereby developing strong linkages with the rest of the economy.
- v) Efficient delivery of services increases the productivity of both labour and capital in the economy as a whole. In general, services sector appears to be highly growth-inducing with positive externalities for other services, making services a catalytic agent of growth.

B) *International Factors.* Some of the recent global developments which provide opportunities for substantial growth are as follows:

- i) The fastest growing segment of services is the rapid expansion of knowledge-based services, such as, professional and technical services. India has a tremendous advantage in the supply of such services because of a developed structure of technological and educational institutions, and lower labour costs.

- ii) Progress in IT is making it increasingly possible to unbundle the production and consumption of information-intensive service activities. These activities—research and development, computing, inventory management, quality control, accounting, personnel administration, secretarial, marketing, advertising distribution and legal services— are performed in all economic sectors.
- iii) Unlike most other prices, world prices of transport and communication services have fallen dramatically. The cost of communication is becoming independent of distance. India's geographical distance from several important industrial markets is no longer an important element in the cost-structure of skill-based activities.
- iv) India does not necessarily have to be a low-cost producer of certain types of goods (*e.g.*, computers or discs) before it can become an efficient supplier of services embodied in them (*e.g.*, software or music). It is possible now to provide value added services without waiting to 'catch up' in technology for production of sophisticated equipment or products.
- v) The decline in the share of manufacturing in the output of rich countries implies a relative decline in their demand for industrial raw materials and fuels. It means that growth in exports of developing countries in the future will depend less on natural resource endowments and more on efficiency in providing services and service-intensive goods.
- vi) The aging of population in the developed world implies that the demand for services will continue to grow.

As a result of the above developments, the sources of comparative advantage of nations are vastly different now from what they were 50 or even 20 years ago. And, there are very few developing countries which are as well placed as India to take advantage of the phenomenal changes that have occurred in production technologies, international trade, capital movement and deployment of skilled manpower. It is now possible for India to take advantage of a virtuous circle of higher growth, higher capital inflows and higher domestic incomes and savings, which in sum can lead to further growth.

2.4.4 Limitations

However, the service sector, as at present, suffers from low productivity and quality in spite of fairly large investment in technology. The sector faces multiple challenges for sustained growth over the years. A number of services where India enjoys comparative advantages experience lack of clear policy thrust. A number of services in India are either predominantly associated with the Government or are not liberalised enough to ensure growth through organised private initiatives. Services like professional, legal, postal, accountancy and insurance need further liberalisation to harness their potential. Unless sustained efforts are put in to improve these, with the increasing importance of the services in wake of structural adjustment and liberalisation in the economy we may get into two alternate scenarios.

- a) Economic and social position of workers in the service sector will steadily go down— since real incomes cannot be higher than productivity for any